

Rigetti Computing, Inc.

RGTI NASDAQ

Hold

\$24.09 ▼ 10.36%

12M Price Target
\$26.00

52-Week Range
\$10.30 – \$58.15

Market Cap
\$8.01B

RGTI: CTO Share Sale, CEO Selling Pressure Reiterate Hold

WHAT'S CHANGED

- CTO David Rivas exercised 111,725 options at \$0.27 then disposed of ~500K shares per GuruFocus headline, catalyzing the -10.36% gap-down on 76.4M shares; CEO Kulkarni separately sold 61,000 shares at \$24.38 on 6/1 for \$1.49M — cluster insider selling confirmed.
- Offset by constructive \$100M U.S. federal quantum R&D backing narrative (Zacks 6/2) and aggressive bullish options flow (P/C 0.14, 9,941 June \$30 calls at 4x OI).

IMPLICATIONS

The simultaneous CEO + CTO selling at \$24-27 levels signals insiders view the post-rally valuation (29% of 52-wk range but still \$8B mkt cap on ~\$20M run-rate revenue) as a liquidity opportunity rather than an accumulation zone, undermining the bull narrative built on federal quantum funding. With sector ETFs broadly flat-to-negative and risk-off rotation into Energy/Healthcare, speculative pre-revenue compute names face a hostile tape just as RGTI loses its insider-confidence anchor. Near-term price action will be dictated by whether the bullish June call positioning (\$27-30 strikes) can absorb continued insider distribution before June OpEx.

VALUATION

At \$8.01B market cap on consensus FY26E revenue of ~\$22M, RGTI trades at ~360x EV/Revenue — a multiple unsupported by any comparable hardware platform and roughly 5-10x richer than IONQ and QBTS on normalized basis. Our \$26 base PT assumes EV/Sales compression toward 200x as commercialization timelines extend; bull case requires a marquee enterprise contract or DARPA program win to sustain current multiple into FY27.

KEY RISKS

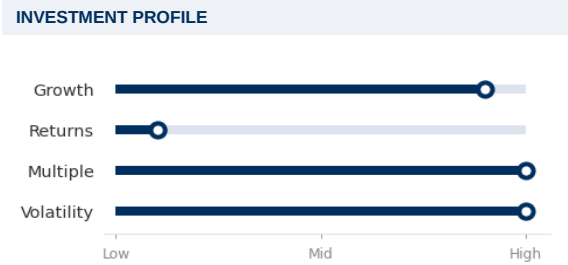
- Continued insider distribution — CEO + CTO selling at current levels typically precedes 3-6 month underperformance windows in pre-revenue tech.
- Quantum-winter risk: any commercial milestone slippage (gate fidelity, qubit count) could collapse multiple by 50%+ given retail-driven float.
- Competitive displacement from IBM/Google/IONQ ecosystem partnerships (note D-Wave's IBM foundry leverage announced 6/2).

RECENT NEWS

Rigetti Stock Tanks After CTO Sells Half a Million Shares [GuruFocus.com](#) · 2026-06-03 20:13

Rigetti's Quantum Ambitions Face Valuation Risks: Buy, Hold or Sell? [Zacks](#) · 2026-06-03 17:41

Key Data	
Price (USD)	\$24.09
12M Price Target	\$26.00
Upside / (Downside)	+7.9%
Market Cap	\$8.01B
FY2026E Revenue	\$22M
FY2027E Revenue	\$38M
FY2026E EPS	(\$0.32)
FY2027E EPS	(\$0.28)
Fwd P/E	N/M



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$32.00	\$24.00	\$18.00
6 Months	\$40.00	\$26.00	\$15.00
1 Year	\$50.00	\$26.00	\$12.00
2 Years	\$70.00	\$32.00	\$10.00
5 Years	\$120.00	\$45.00	\$6.00
10 Years	\$250.00	\$70.00	\$3.00

SECTOR INTELLIGENCE

HOT SECTORS: Energy (+3.02% 5D), Materials (+0.88% 5D)

COLD SECTORS: Consumer Staples (-2.86% 5D), Real Estate (-2.51% 5D)

ROTATION WATCH: Defensive bid into Energy/Healthcare alongside Staples weakness suggests stagflationary positioning; this is a hostile backdrop for unprofitable long-duration compute names like RGTI.

BYPRODUCT PLAY: Federal quantum R&D dollars create a rising tide for ancillary plays — cryogenics (FORM), specialty semis (ACMR), and quantum-adjacent software (HON's quantum unit) offer lower-beta exposure to the same thematic.

OUTPERFORMERS & PEER CONTEXT

- IONQ (IonQ): trapped-ion competitor has reported faster commercial revenue ramp with better gross margin trajectory than RGTI's superconducting stack.
- QBTS (D-Wave): just secured IBM foundry leverage + \$100M federal tailwind (Barrons 6/2), structurally improving manufacturing scalability.

RGTI CONTEXT: RGTI is lagging the quantum peer group today on idiosyncratic insider selling, but at 29% of 52-week range it has already given back relative gains; the group trades as a basket and RGTI's premium multiple makes it the highest-beta short within the cohort.

INVESTMENT STRATEGY

4/10 Conviction Score

Position Size: 1-2% speculative sleeve

Entry Points: \$15-18 on capitulation

Time Horizon: 12-24 months

Thesis Invalidation: Failure to deliver 100+ qubit fidelity milestone or sustained customer revenue stall

Hedging: Long IONQ or QBTS as quantum-basket pair; or buy Jul \$20 puts